PARTNERSHIP PROPOSAL · APRIL 2026 · V3

A New Structure for Our Next Chapter Together

Collective Shift x Alchemy — Proposed Compensation Framework

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CONTEXT

Boys — we've reworked the numbers to reflect a realistic base case of **3x MER** (every A$1 of ad spend returns A$3 in revenue). That's the honest planning assumption; 5x was optimistic. Everything below is built on 3x.

We've landed on two structures worth putting on the table:

Option A is a flat **10% of contribution margin** (revenue after all variable costs and ad spend). Clean, simple, scales linearly. **Option B — the recommended structure — is a tiered model on contribution margin: 10% up to A$300K, 12% from A$300K–A$500K, 15% above A$500K.** It protects both sides at low volume and rewards scale with real upside.

We're raising capital, the US market is live, and the next 12 months matter more than any before. We want Alchemy earning A$50K+/month when we scale. Happy to backdate to April.

3x	A$10K	A$50K+	Uncapped
BASE MER	FLOOR EARNINGS	SCALE EARNINGS	UPSIDE

UNIT ECONOMICS — HOW CONTRIBUTION MARGIN IS CALCULATED

Commission is paid on **contribution margin** — gross margin AFTER ad spend is deducted. This is the cleanest alignment: Alchemy earns on what's actually left after marketing costs.

PER PLATINUM SALE (AU)

A$20,000 sale price

Gross revenue	A$20,000
Less GST (10%)	–A$2,000
Less merchant (3%)	–A$600
Less refund reserve (7%)	–A$1,400
Less closer + setter (15%)	–A$3,000
Gross margin	**A$13,000 (65%)**
Less CAC (avg A$3,500)	–A$3,500
Contribution margin	**A$9,500 / sale**

MONTHLY AGGREGATE @ 3X MER

Paid channel math

MER	3.0x
Revenue = Ads × 3	100% of spend × 3
Gross margin (65% of rev)	195% of ad spend
Less ad spend	–100% of spend
Contribution margin	**95% of ad spend**
Rule of thumb	≈31.7% of revenue

Organic sales (≈A$150K/mo from Ben's socials, podcast, mailing list, referrals) are in scope for commission at the same tier rate. Zero ad spend on organic means ~A$97.5K/mo of additional contribution margin flowing into Alchemy's fee base — that alone covers the A$10K/mo floor before paid ads even spin up.

AU rates shown: GST 10%, merchant 3%, refund reserve 7%, sales commissions 15% (closer 10% + setter 5%). Renewals excluded from commission — retained by CS to cover core OPEX.

TWO OPTIONS ON THE TABLE

OPTION A — SIMPLE

Flat 10% of Contribution Margin

Retainer	None
Rate	10% of contribution
Base (A$150K ads, 3x MER)	~A$14K / mo
At A$500K ads, 3x MER	~A$48K / mo
Cap	**Uncapped**

Clean one-line formula. Same rate at every volume. Easy to model, easy to reconcile, no tier-boundary gaming.

OPTION B — RECOMMENDED

Tiered on Contribution Margin 10% / 12% / 15%

Tier 1 (≤ A$300K)	10%
Tier 2 (A$300K–A$500K)	12%
Tier 3 (> A$500K)	15%
Base (A$150K ads, 3x MER)	~A$14K / mo
At A$500K ads, 3x MER	**~A$51K / mo**

Low-volume protection for CS, real upside for Alchemy at scale. 15% on every dollar of contribution above A$500K — the more you push the more you earn.

TIER 1	TIER 2	TIER 3
10%	**12%**	**15%**
on contribution ≤ A$300K / mo	A$300K - A$500K	above A$500K / mo

Tiered rates apply marginally (like income tax): the first A$300K of contribution is always paid at 10%, the next A$200K at 12%, and anything above A$500K at 15%. Tier calculated monthly on new-sales contribution margin (paid + organic, renewals excluded). Suggested safeguard: trailing 3-month rolling average for tier qualification to smooth edge-month gaming.

WHAT ALCHEMY EARNS — 3X MER BASE CASE (OPTION B TIERED)

All scenarios use MER = 3x (A$1 of ad → A$3 of revenue). Gross margin = 65% of revenue after AU variable costs. Contribution margin = gross margin – ad spend. Organic contribution (A$97,500/mo from ~A$150K organic revenue) shown as a separate upside column.

SCENARIO	AD SPEND	REVENUE	GROSS MARGIN (65%)	CONTRIBUTION (POST-CAC)	ALCHEMY EARNS (OPTION B)	TIER APPLIED
PAID-ONLY CONTRIBUTION (EXCLUDING ORGANIC)						
Floor current run-rate	A$100,000	A$300,000	A$195,000	A$95,000	**A$9,500**	Tier 1 · 10%
Target healthy base case	**A$150,000**	**A$450,000**	**A$292,500**	**A$142,500**	**A$14,250**	Tier 1 · 10%
Stretch scaling phase	A$300,000	A$900,000	A$585,000	A$285,000	**A$28,500**	Tier 1 · 10%
Stretch+ scaling phase	A$400,000	A$1,200,000	A$780,000	A$380,000	**A$39,600**	Tier 1+2
Scale target deployment	**A$500,000**	**A$1,500,000**	**A$975,000**	**A$475,000**	**A$51,000**	Tier 1+2

SCENARIO	AD SPEND	REVENUE	GROSS MARGIN (65%)	CONTRIBUTION (POST-CAC)	ALCHEMY EARNS (OPTION B)	TIER APPLIED
Scale+ aggressive scale	**A$750,000**	**A$2,250,000**	**A$1,462,500**	**A$712,500**	**A$85,875**	Tier 1+2+3
PAID + ORGANIC (REALISTIC BLEND — ORGANIC ADDS ~A$97.5K CONTRIBUTION)						
Floor	A$100,000	A$300,000 + organic	+A$97,500 organic	A$192,500	**A$19,250**	Tier 1 · 10%
Target	**A$150,000**	**A$450,000 + organic**	**+A$97,500 organic**	**A$240,000**	**A$24,000**	Tier 1 · 10%
Stretch	A$300,000	A$900,000 + organic	+A$97,500 organic	A$382,500	**A$39,900**	Tier 1+2
Scale	**A$500,000**	**A$1,500,000 + organic**	**+A$97,500 organic**	**A$572,500**	**A$64,875**	Tier 1+2+3
Scale+	**A$750,000**	**A$2,250,000 + organic**	**+A$97,500 organic**	**A$810,000**	**A$100,500**	Tier 1+2+3

Paid-only rows are the conservative floor; paid+organic is the realistic operating case. Tier badges reflect where in the tiered schedule contribution lands — fees are calculated marginally across tiers, not on total.

Earnings Milestones — Paid-Only Base Case (Option B)

How ad spend maps to Alchemy monthly earnings — conservative (paid-only) case at 3x MER.

A$9.5K	A$14K	A$40K	A$51K
FLOOR	TARGET	STRETCH	SCALE
A$100K ads · A$300K rev	A$150K ads · A$450K rev	A$400K ads · A$1.2M rev	A$500K ads · A$1.5M rev

Add organic contribution (A$97.5K/mo) and the earnings step up: Floor A$19K · Target A$24K · Stretch A$40K · Scale A$65K+. At Scale+ (A$750K ads) Alchemy earns **A$100K/month** — the 15% tier kicks in hard above A$500K contribution.

WHY THE STRUCTURE NEEDS TO WORK THIS WAY — CS OPEX BASELINE

Full transparency. Here's what it costs to run Collective Shift each month before Alchemy's commission.

Non-ad monthly OPEX (team, platform, ops)	**A$300,000**
Baseline ad spend (target)	**A$150,000**
Renewal revenue (excluded from commission)	**A$150,000**
Gap covered by new sales	**~A$300,000 / month**

Active OPEX reduction in play. CS completed a team restructure end of March (Josh, Pat, Alisha off payroll), trimming A$58.7K/mo from fixed OPEX. Effective run-rate non-ad OPEX heading into Q3 is closer to **A$241K/mo**. Further cuts to contractor and SaaS lines under review — target a sub-A$225K non-ad OPEX baseline by end of Q3 which flows straight into a lower new-sales gap and a cleaner path to profitability for both sides.

Renewals retained by CS to cover core OPEX. Every dollar of additional ROAS drives both sides forward. Sourced from Updated Bull Market Base Case Budget, May/June 2026 average, adjusted for March 2026 restructure.

12-MONTH EARNINGS PATH — OPTION B TIERED

What the first 12 months of the new structure could look like as ad spend ramps. Paid + organic blend, 3x MER base case.

PHASE	AD SPEND	MONTHLY REVENUE	CONTRIBUTION (PAID + ORGANIC)	ALCHEMY EARNS (OPTION B)
Months 1–3 — ramp stabilise at current run-rate	A$100K/mo	A$300K + A$150K organic	A$192,500	**A$19,250 / mo** Q1 ≈ A$58K
Months 4–6 — scaling **capital deployment begins**	**A$200K/mo**	**A$600K + A$150K organic**	**A$287,500**	**A$28,750 / mo** **Q2 ≈ A$86K**
Months 7–9 — full deployment US channel at scale	A$400K/mo	A$1.2M + A$150K organic	A$477,500	**A$51,300 / mo** Q3 ≈ A$154K
Months 10–12 — scale **target deployment**	**A$500K/mo**	**A$1.5M + A$150K organic**	**A$572,500**	**A$64,875 / mo** **Q4 ≈ A$195K**
Year 1 Total (estimated)				**A$492K / year**

Year-one estimate assumes straight-line ramp within each quarter. Organic held flat at A$150K/mo for conservatism; realistically it grows with CS's content and distribution efforts. Once ad spend clears A$500K/mo and stays there, Alchemy is crossing into the 15% tier — that's where the structure really pays.

The Opportunity Ahead

We've rebuilt this on honest assumptions. 3x MER is the planning base case. 5x is the stretch, not the baseline. On those numbers, **Option B gets Alchemy to A$10K/month from day one, A$40K/month at stretch, and A$50K+/month at scale** — with the 15% top tier waiting above A$500K contribution to reward the upside you push us to.

We've kept the structure clean: no retainer, no weird carve-outs, commission on contribution margin only (ads properly deducted), organic in scope. The tier ladder means low-volume protection for us, uncapped upside for you.

US expansion is live, the raise is underway, and our OPEX line is moving in the right direction post-restructure. Let's lock in the structure and go.

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